

Greek word "Oikonomia" means Economics.

→ meaning ⇒ management of household

1776 → ^{Germany} Adam Smith published a book named;

"An enquiry in the nature and the causes of the wealth of nations".

^{According to Adam Smith}
Definition: Economics is the science which studies the nature and the causes of the ~~wealth~~ wealth of nation.

Lecture-2

21.07.2026

Chapter - 1Definition and Subject matters of Economics

①

Year: 1776

Author: Adam Smith

Book: "An enquiry in the nature and the causes of the wealth of nations."

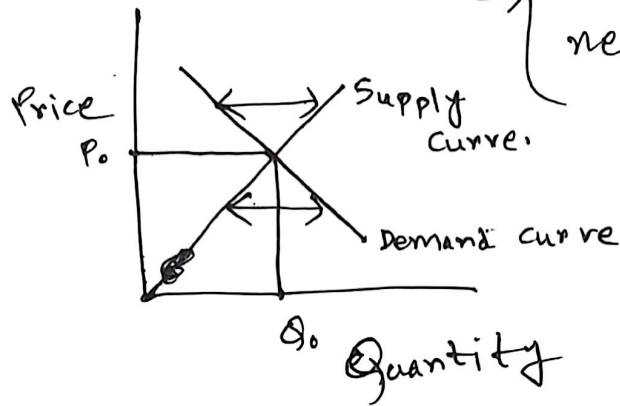
Def: Economics is a science of wealth.

Features of Definition of Adam Smith:

① Science of Wealth ② Emphasis on production

③ Supports free marketing

$\left\{ \begin{array}{l} \text{Demand and Supply} \\ \text{said govt interference is not} \\ \text{needed in economy} \end{array} \right.$



Criticisms:

① Ignores human welfare

② Too materialistic definition $\rightarrow$ असुर

③ Narrow definition

②

Year: 1890

Author: Alfred Marshall

Book: "Principles of Economics"

Definition: "Economics is the study of mankind in the ordinary business of life."

Features and Criticism of definition of Alfred Marshall

Features: ① Emphasis on human welfare

② Wealth is only a means

③ Economics is a social science } man in society

Criticism: ① Welfare measurement problem

② Don't mention scarcity

③ Limited scope of his definition

③

Year: "1932"

Author: "Lionel Robbins"

Book: "An Essay on the nature and significance of Economic Science"

Definition: Economics is a science which studies human behavior as a relationship between ends and scarce means which have alternative uses

↓
limited resource

(संसाधन)

↓
unlimited human wants (असंतुष्टता)

Features and Criticism of definition of Lionel Robbins;

- Features:
- ① Scarcity is the central problem
 - ② Resources have alternative uses.
 - ③ Choice is necessary.
 - ④ Efficient allocation of resource

- Criticism:
- ① Don't mention technology
 - ② Not suitable during unemployment.

* 1st part or definition part. Ques. 1 "Define Economics"
[କମଳେ minimum ଦୁଇଟି ମିଳି answer ଦେବାକୁ ହେବ]

Subject matters of Economics

1. Production / Output: Production is the process of using resources like labor, capital, and raw materials to make goods and services. This area helps us understand how businesses decide what to make and how much to produce.

⇒ Focuses on transforming inputs into useful outputs to satisfy human needs.

2. Exchange: Exchange involves the buying and selling of goods and services between people, businesses or

countries. This subject explains how prices are determined through the forces of supply and demand.

⇒ Usually takes place in markets using money as a medium of trade.

3. Distribution: Distribution deals with how total income and wealth are divided among individuals and factors of production. The goal is to understand how fairly or efficiently economic rewards reach different parts of society.

4. Consumption: Consumption is the act of using goods and services to satisfy immediate human wants and needs. It represents the final stage of economic activity and drives overall economic demand. Studying consumption helps us to see how consumers choose to spend or save their money.

5. Employment: Employment focuses on how an economy uses its available labor for producing goods and services. It looks at job creation, working conditions, and the causes of unemployment. High employment is crucial because of generating income for individuals.

6. Economic Growth and Development: Economic growth refers to an increase in a country's total output of goods and services over time. Economic development goes a step further by including improvements in living standards, healthcare and education.

Features	Microeconomics	Macroeconomics
1. Definition	Mi. is a branch of economics which studies individual economic behavior (such as individual → consumers → producers → market <u>etc</u>)	Mac. is a branch of economics which studies the economy as a whole (such as national output, national employment. Aggregate Demand and Supply, price level).
2. Unit of Analysis	Individual → consumers → producers → market	Aggregate Demand, Aggregate Supply.
3. Scope	Narrow	Broad.
4. Objectives	Efficient allocation of resources	Economic Stability.
5. Price	Individual commodities price	General Price level.
6. Income	Income of an individual	National income (GDP, GNP).
7. Market	Individual market.	Overall market economy
8. Policy Focus	Policy of single consumer produces	Fiscal. policy and monetary policy
9. Equilibrium	Partial equilibrium	General equilibrium.

10. Decision makers

Individual consumers
" producers

Government,
Central Bank (C.B.)

☐ Central Economics Problem of Every Society:

1. What to produce -

- a) consumer goods/products.
- b) Capital goods (machinery) (money)
- c) services.

2. How to produce -

- a) Land (fixed)
 - b) Labor
 - c) Capital
- } $\begin{cases} \text{if } \# \text{ Capital} > \text{Labor} \\ \rightarrow \text{capital intensive production} \\ \text{if } \# \text{ Labor} > \text{Capital} \\ \rightarrow \text{Labor intensive production} \end{cases}$

3. Whom to produce:

- a) Rich
- b) Poor

Economics Systems

Lecture 4

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Economic System is the set of organizational arrangements and institutions that are established to solve economic problems.

Types

① Capitalist Economic System; An economic system

system in which govt. does not control economic activity and ~~pro~~ all problems are solved by price mechanism is known as Capitalist Economic System. Countries;

USA, UK, Singapore. (C.E.S)

Features of C.E.S;

① Private Property } Individual, businessman, company.

② Profit motive } maximization of profit

(3) Market economy } $D = S \Rightarrow$ equilibrium P, Q
 $\downarrow$ $\downarrow$ $\downarrow$ $\downarrow$
 Demand supply price quantity

(4) Competition.

⑤ Consumer sovereignty/freedom

⑥ Limited govt. role. } No govt. intervention here.

② Socialist Economic System: An economic system in which government decides how economic resources will be allocated and means of production are owned by the government. Countries: Soviet Union, Cuba, North Korea.

Features of S.E.S: ① Public Ownership } property, means

② Central Planning

③ No profit motive } social development

④ Equal distribution of income

⑤ Limited consumer choices.

⑥ Price is fixed by the ~~govt.~~ govt.

③ Mixed Economic System: An economic system in which most economic decisions result from the interacting of buyers and sellers in market but govt. play a significant role in the allocation of resources is known as M.E.S.

Features of M.E.S: ① Coexistence of public and private sectors.

② The state sometimes regulate ~~the~~ the economy

③ The govt. set development goals.

④ Consumer freedom.

⑤ The state works to minimize income inequality.